THE KHAN PARTNERSHIP

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By Email Only to: nicky.johnson@hotmail.com

Nicola Johnson

4 December 2017

Our Ref: RHK/KLW/658.74

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Dear Ms Johnson

Re: Charge over Warwick House

We write further to our meeting on 15 November 2017 and our email exchange of 17 November 2017. We have received and subsequently reviewed the following documents from you:

1. Barclays Credit Report dated 18 November 2008 ("the Credit Report");
2. Clip of correspondence from 2009 ("the Home Rights Correspondence");
3. Case Summary for Private Prosecution dated 27 September 2012;
4. Arrest Warrant dated 31 December 2013;
5. Letter to Ian Connell of Payne Hicks Beach dated 23 July 2015;
6. Judgement of Mr Justice Moylan dated 2 June 2016 ("the Judgement"); and
7. Final Order of Mr Justice Moylan dated 16 September 2016 ("the Order").

At our meeting on 15 November 2017, we discussed the charge taken by Barclays Bank over the property located at 8 Addison Crescent, London ("Warwick House") and in outline some potential avenues for challenge of that charge. In this letter, we briefly set out the relevant background to your potential instruction and your objectives, before outlining the legal position, the courses of action that may be available to you and potential issues that may hinder their successful pursuit.

General Background

We understand that, on 21 December 1985, you married Mr Ziad Mounir Takieddine ("Mr Takieddine"). In 1994, Mr Takieddine purchased Warwick House through an off-shore corporate structure. Since then you have used it as your London family home. Your main family home during your marriage to Mr Takieddine was in France.

In October 2006, Mr Takieddine filed for divorce in France which was finalised in March 2013. The French Court awarded you 50% of all assets under the community of assets regime. Due to the very complex ownership structure of Mr Takieddine's assets and continuing investigations and legal proceedings against him, the division

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of the community assets is on-going. You have retained separate solicitors in France and the United Kingdom who act for you in those matters.

We understand that, in September 2007, you permanently moved to the United Kingdom with your sons but Mr Takieddine forcibly prevented you from accessing Warwick House. You commenced proceedings and were granted access to the property in July 2010 and you have lived in Warwick House as your main home since.

Barclays Bank Charge

In February 2009, Barclays Bank lent Mr Takieddine £6 million which was secured against Warwick House ("the Charge"). You mentioned at our meeting that you were not aware of the Charge being made against the property and did not consent to it. From the Credit Report it is clear that Barclays were very interested in business opportunities arising from developing a relationship with Mr Takieddine, in particular relating to future investments by him, his business contacts in Libya and the Lebanon and potential business introductions through a relationship with him.

Prior to the Charge being made, you had a Home Rights notice registered against the title to Warwick House to protect your interest in the property. However, you have instructed us that you were convinced by Mr Takieddine, in the context of a feigned effort at reconciliation with him, to take the notice off the register. You received legal advice on the implications of the removal of the Home Rights notice from Osmond & Osmond Solicitors, but state that they did not advise you in respect of the Charge. However, Osmond & Osmond do state in their letter to you of 12 January 2009 that you are aware that Barclays Bank intend to register a charge against the property and that the charge would take priority over any claim you could make against Warwick House.

Current Situation and Objectives

You obtained the Judgement in June 2016, after an application under Part III of the Matrimonial and Family Proceedings Act 1984. The Judgement noted that the Court had jurisdiction to determine the beneficial ownership of Warwick House, held that Mr Takieddine used the off-shore corporate structure to hold Warwick House on trust for himself and awarded you a notional half share of Warwick House.

The Order provides for the sale of Warwick House and also sets the order of priority for the application of the proceeds of sale. Essentially, the proceeds will first be applied to discharge the Charge and the conveyancing and estate agents' fees. The remainder will be split equally between yourself and Mr Takieddine. In addition, a number of costs and other payments to you or on your behalf were ordered to be satisfied using the share of the proceeds allocated to Mr Takieddine.

At present, we understand that Warwick House is still on the market and your objective is to set aside the Charge in order to significantly increase the sale proceeds available to you.

Legal Position and Courses of Action Available

As discussed at our meeting, we presently consider there to be three potential primary avenues of challenging the Charge:

(i) *Actual occupation*
Under the relevant legislation, the proprietary interest of a person in actual occupation will override a registered disposition, including a mortgage or charge, subject to certain conditions being met. On this argument, you would not be bound by the charge and it would not affect your interest in Warwick House.

(ii) *Lack of notice and consent*
On the basis that you had no notice of the Charge and did not consent to it, it may be possible to argue that the Charge is ineffective against your interest in Warwick House.

(iii) *Lack of advice*
Solicitors for Barclays Bank discovered the Home Rights notice you registered against the title to Warwick House as part of their usual investigations. They informed Mr Takieddine that Barclays Bank would need the notice to be removed and apparently arranged for you to receive independent advice on this matter from Osmond & Osmond. On the basis that you were advised only in respect of the removal of the Home Rights notice and not in respect of the Charge, it may be possible to argue that the Charge is not effective against your interest in Warwick House.

In addition to these legal grounds, Barclays Bank faces a potential reputational risk in being associated with Mr Takieddine and actively seeking business opportunities with him in the context of now very serious allegations against him. It could be argued that the motive behind not diligently following the legal and best practice requirements was Barclays' then wish to develop a close business relationship with Mr Takieddine and his contacts. In the context of the high-profile on-going criminal proceedings against Mr Takieddine, Barclays Bank may now want to distance themselves from him. This could be utilised to your advantage as it may incentivise Barclays Bank to negotiate an agreed settlement before any threatened claim reaches the courts and attracts publicity.

We understand that you would like to avoid litigating this matter in court if possible. However, it is likely to be necessary to threaten or bring a claim in order to impress upon Barclays Bank the need to enter into constructive negotiations concerning a possible settlement.

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Potential Issues

On the basis of the discussion at our meeting and following our review of the documents you have subsequently provided, we have identified a number of potential issues that may weaken your legal position or strengthen that of Barclays Bank.

At the time of the creation of the Charge, Mr Takieddine was denying you access to Warwick House. This may make it more difficult to establish that you were in "actual occupation" at the relevant time. The fact that your belongings were at the property and that your housekeeper continued to live there as before may assist with that. The Judgment also explains that Warwick House was a matrimonial home and occupied as such. The Credit Report also mentions that Warwick House is owner-occupied, although it only lists Mr Takieddine as occupier and makes no mention of you at all.

Knowledge much on Rich's.

In a letter to you dated 12 January 2009, Katie Dunbar of Osmond & Osmond confirmed that she had advised you on the implications of removing your Home Rights notice. Additionally, she stated that you were aware that Barclays Bank intended to register a charge against Warwick House which would take priority over any claim you could make. Ms Dunbar also sent letters of the same date and to the same effect to Barclays Bank and their solicitors.

In the absence of further evidence to the contrary, these letters show that you were aware of, and advised on, both the removal of the Home Rights notice and the effect of the Charge on your interest in Warwick House. This significantly strengthens the legal position of Barclays Bank.

Further, the Judgment considers whether to enforce the Charge only against Mr Takieddine's notional half share of Warwick House. Mr Justice Moylan viewed it as more prudent and appropriate to instead allow you to enforce costs orders against Mr Takieddine's notional half share. While the Judgement does not specifically consider the validity or effectiveness of the Charge against you, the wording of this ruling makes it more difficult to now argue that the Charge should only be enforceable over Mr Takieddine's notional half share instead.

In light of all of the points raised, our view is that the strength of your legal position to have the Charge set aside is undermined considerably by the letter from Osmond & Osmond which we understand was not challenged by you at the time, but please do confirm. If you have any notes of the meeting with Osmond & Osmond these could also be helpful to establish whether or not advice in respect of the Charge was actually given.

Commercially, it would be in Barclays' interest to avoid any reputational risk associated with the public connection to Mr Takieddine. On that basis they **may** be prepared to offer you a concession, which could for example take the form of

enforcing a lesser amount. However, unless we can establish a strong claim against them in respect of the Charge, they are unlikely to negotiate.

Given the source of your introduction to the firm, if we were to prepare a Letter Before Action with the intention of having Barclays Bank remove or reduce the Charge, we would be able to do this for a fixed fee of £5,000 plus a percentage of any reduction of the Charge, to be agreed. However, we consider it likely that Barclays would be able to mount a robust defence to any claim on the basis of the Osmond & Osmond advice to you.

We hope that this analysis will assist you in deciding whether you would like to pursue this matter. Should you have any questions or wish to discuss this letter further, please do not hesitate to contact us.

We look forward to hearing from you.

Kind regards.

Yours sincerely

The Khan Partnership LLP.

Katharine Lawrie
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